

Towards Viksit Healthcare

Why higher public spending and strong policy interventions are the key to making health an essential good

BY NEETU CHANDRA SHARMA

INDIA'S HEALTHCARE sector is a study in contrasts. On the one hand, the country is a global hub for pharmaceuticals, vaccines and medical innovation. On the other hand, millions struggle with limited access to quality care and high costs. As the debate over affordability and accessibility deepens, stakeholders say healthcare must be treated as a fundamental right, akin to education, or an essential good like food and water. Bridging this gap, they say, will require not only policy shifts but also a rethink of how India delivers care and higher public investment and private sector participation.

HEALTHCARE A RIGHT

According to the India Brand Equity Foundation under the Ministry of

Commerce and Industry, healthcare has become one of India's largest sectors in terms of revenue and employment. The Indian hospital market was valued at ₹8.2 lakh crore (\$98.98 billion) in FY23 and is projected to grow at an 8% CAGR to ₹16.1 lakh crore (\$193.59 billion) by FY32.

But there is a paradox. According to PRS Legislative Research, an independent institute supporting Indian lawmakers on policy and budgets, India's healthcare system faces major challenges in infrastructure, manpower and financial accessibility, despite ongoing government efforts.

Central health spending remains low at around 2% of GDP, well below the 2.5% target set by the National Health Policy, 2017. This means a shortage of infrastructure—India



PHOTO BY CHANDRADEEP KUMAR

NOT FIGHTING FIT

The Ayushman Bharat Scheme aims to cover 500 million people but concerns over hospital participation and reimbursements persist.